AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS (THEORY) 2025

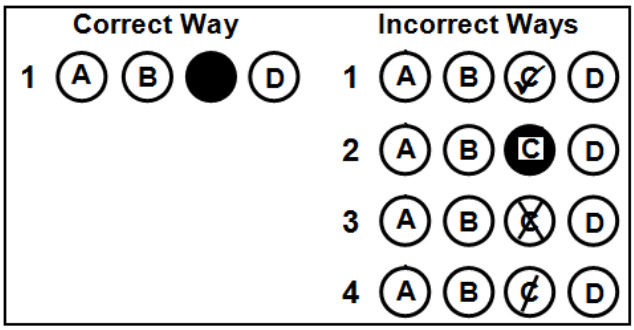
Business Studies Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Maria spends her weekends volunteering at a local animal shelter. She helps with feeding, cleaning and finding homes for abandoned pets.

   The services Maria offers as a volunteer fall under

   A. economic activity.
   B. secondary activity.
   C. non-economic activity.
   D. entrepreneurial activity.

2. Maaz was using his old motorbike for the last 5 years. He saved Rs 10,000 per month from his salary for one year to upgrade his vehicle. After a year, he looked for the following options:

   - New bicycle value Rs 30,000
   - New motorbike value Rs 110,000
   - New car value Rs 2,500,000

   Based on the given scenario, Maaz's needs and wants would be

	Needs	**Wants**
A	Bicycle	Motorbike
B	Motorbike	Bicycle
C	Car	Motorbike
D	Motorbike	Car

3. A small island country has limited natural resources and depends heavily on tourism for its economic growth. However, its government has restricted further development of tourist attractions due to environmental concerns.

   The factor of production that is constrained in the given scenario is

   A. land.
   B. labour.
   C. capital.
   D. entrepreneurship.

4. A farmer harvests crops from the fields and raises live stock.

   The type of business activity depicted in the given statment is

   A. tertiary.
   B. primary.
   C. secondary.
   D. quaternary.

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5. Two software companies, AlphaTech and BetaSoft, are collaborating on a project to develop a new mobile application. AlphaTech focuses on user interface design and marketing, while BetaSoft specialises in backend development and hosting infrastructure.

   The type of business arrangement that BEST describes the collaboration between AlphaTech and BetaSoft is

   A. merger.
   B. franchise.
   C. cooperative.
   D. joint venture.

6. The description that BEST defines the stakeholders of a business are

   A. individuals who utilise goods or services from the employer as a perk.
   B. individuals who are indirectly employed (3rd party employee) by the business.
   C. shareholders and investors engaged in the business invested in financial market.
   D. persons or entities affected by the actions, operations or decisions of the business.

7. A small-scale local sports goods manufacturer has been approached by a multi-national company for a conglomerate.

   One of the MAIN motivations for the small-scale business to consider this proposal could be the

   A. reduction of operational risks.
   B. access to new distribution channels.
   C. diversification of products and services.
   D. maintenance of a small scale, personalised approach.

8. A departmental store has successfully penetrated new markets and increased its customer base. However, the business is struggling to manage its operational activity effectively, resulting in difficulties meeting financial obligations and investing in further growth.

   The issue associated with the growth of the business is due to

   A. credit management.
   B. cash flow management.
   C. inventory management.
   D. human resource management.

9. Which of the following CORRECTLY differentiates between the types of business?

	Sole Trader	**Partnership**	**Limited Liability Company**
A	One owner	More than 20 partners	Less than twenty shareholders
B	Separate legal entity	No separate legal entity	No separate legal entity
C	One owner	Less than or equal to 20 owners	Unlimited shareholders
D	No separate legal entity	Separate legal entity	No separate legal entity

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10. What is the PRIMARY purpose of an organisational chart?

A. To represent the company's structure and hierarchy graphically
B. To showcase the company's financial performance
C. To illustrate the company's marketing strategies
D. To outline the company's mission and vision

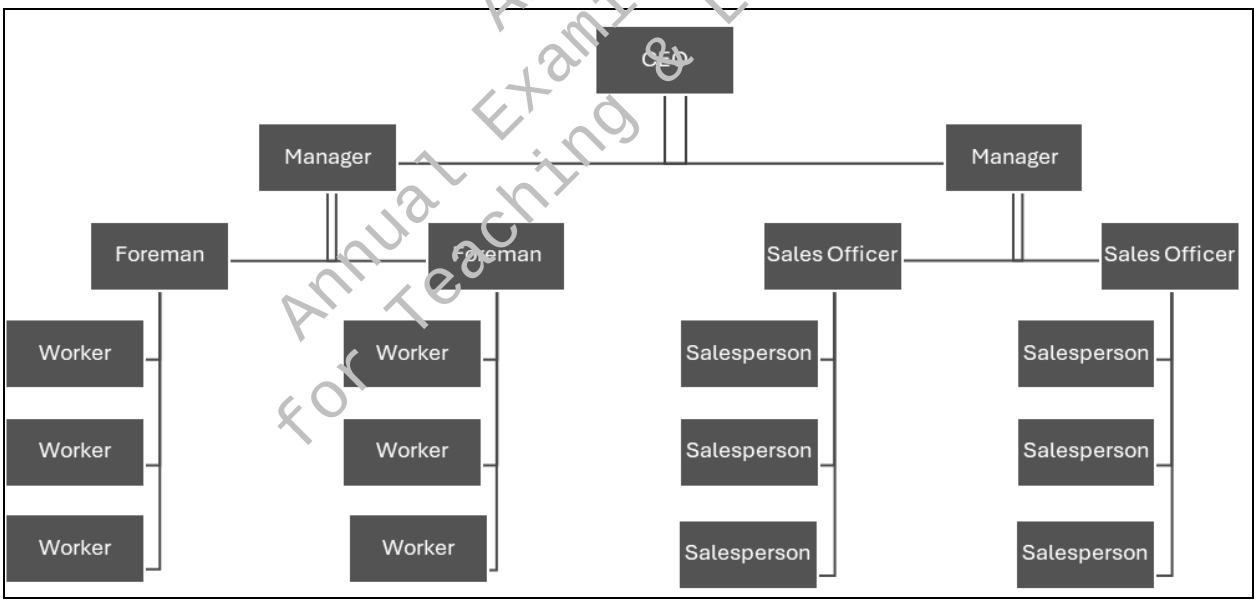
11. In a typical organisational chart, the level of management responsible for holistic and visionary development of an organisation are

A. directors.
B. supervisors.
C. line managers.
D. staff managers.

12. For a departmental store, the level of management that has the lowest level of responsibility is

A. CEO.
B. manager.
C. sales officer.
D. sales supervisor.

13. Consider the given organogram of a business organisation.



With reference to the given organogram, the LARGEST span of control is under

A. CEO.
B. worker.
C. foreman.
D. manager.

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14. A technology startup is growing rapidly and the founder recognises the need to enter in a new market. The founder creates an organisational goal followed by the objectives to be achieved within the span of ten years.

The function of management depicted in the given situation is

A. planning.
B. organising.
C. controlling.
D. commanding.

15. Samreen, a project manager, is overwhelmed with her workload. She decides to delegate some tasks to her team members.

Which of the following BEST exemplifies delegation in this scenario?

A. Samreen asks her team members to handle all tasks independently.
B. Samreen micromanages her team members' actions until the task is completed.
C. Samreen assigns tasks to her team members without explaining the expectations.
D. Samreen provides her team members with authority and responsibility for specific tasks.

16. Rehan is a manager in a business organisation. He takes all the decisions without taking much input from others. He trusts his subordinates very little and enforces all the work methods and processes.

The leadership traits of Rehan classify him as a/ an

A. autocratic leader.
B. dictatorial leader.
C. democratic leader.
D. Laissez Faire leader.

17. One of the qualities associated with the good and efficient leader of a business organisation is

A. strong communication.
B. micromanagement.
C. limited delegation.
D. rigidity.

18. What potential benefit does a well-defined chain of command offer to a business organisation?

A. It reduces the delegation of tasks.
B. It enhances the needs of supervisors.
C. It reduces the need for an organisational structure.
D. It enhances the decision-making efficiency of organisation.

19. The MAIN benefit of the Kaizen production method is

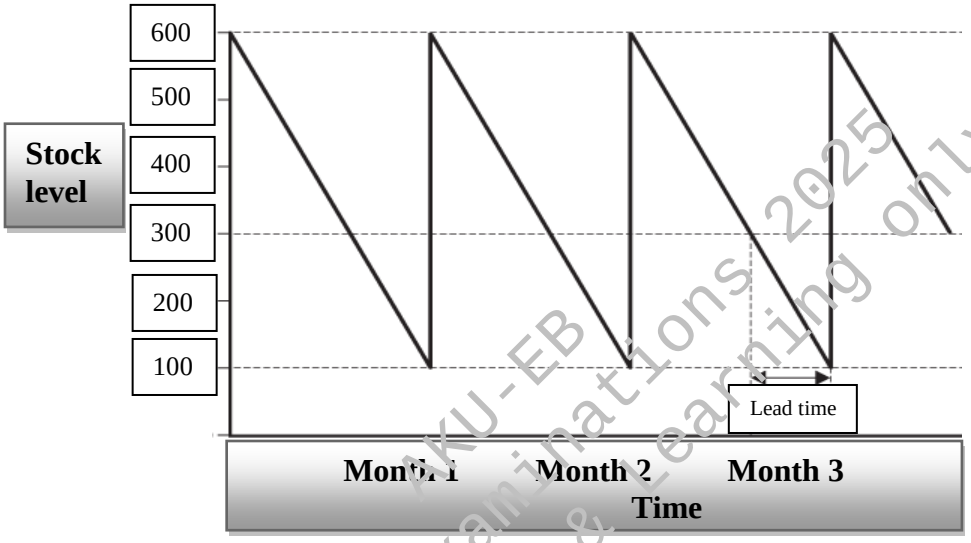
A. quick and radical transformations.
B. minimal involvement of employees.
C. steady and sustainable improvement over time.
D. implementation of large-scale technological advancements.

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20. The POTENTIAL benefit of technological change in production is the

A. reduction in the marketing cost.
B. increased reliance on manual labour.
C. decrease in the need for technical workers.
D. enhanced production efficiency and output.

21. Based on the given graph, at which level does a business organisation avoid to increase its inventory levels?



A. 600 units
B. 300 units
C. 200 units
D. 100 units

22. The BIGGEST merit of job order production method is that it caters to

A. cost factors.
B. trends set in the market.
C. individual's need and specifications.
D. general expectations of the consumers.

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23. The following details are related to the production of different departments of Shaheen Cement.

Department	Number of Labours Employed	Output in Tonne
X	60	600
Y	45	472
Z	30	330

With reference to the productivity of labour, the CORRECT statement is that the productivity of

A. all the departments is same.
B. department Y is more than all other departments.
C. department Z is less than that of other departments.
D. department X is less than that of other departments.

24. Global Manufacturing Ltd., a heavy machinery producer, is considering funding their expansion project to build a new production plant.

Based on the given situation, which source of finance is the MOST suitable for them?

A. Taking a short-term loan from a local bank
B. Issuing equity shares to existing shareholders
C. Using petty cash reserves for day-to-day operations
D. Borrowing funds from suppliers for a limited period

25. The term 'current liability' is defined as

A. financial obligation or debt that a company owes to external parties, which is expected to be settled in the near future.
B. non-physical assets that represent future economic benefits, such as patents, trademarks, copyrights, and goodwill.
C. physical assets that have a tangible presence and can be seen and touched, such as machinery, buildings, land, and inventory.
D. financial resources or funds invested in a business by its owners or shareholders, used to generate income and support operations.

26. The impact of long-term loans acquired by a business on its balance sheet is that they

A. increase equity.
B. decrease equity.
C. decrease non-current liabilities.
D. increase non-current liabilities.

27. If a company's total assets valued $100,000 and its total liabilities valued $40,000, then the amount of equity would be

A. $40,000
B. $60,000
C. $100,000
D. $140,000

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28. Kazim Movers plans to enhance its profitability by investing in a new fleet of passenger buses equipped with advanced GPS tracking and fuel-efficient systems which reduce its operating cost.

Based on the given scenario, the investment should be classified as

A. current expense.
B. operating expense.
C. capital expenditure.
D. revenue expenditure.

29. In the context of accounting, the principle of 'going concern' refers to a business that is

A. operating at a loss.
B. closing its operations.
C. experiencing a temporary increase in revenue.
D. expected to continue its operations in the foreseeable future.

30. With reference to financial statement in accounting, the 'concept of accrual' is based upon recording transactions

A. when they are incurred, regardless of cash exchange.
B. only when cash is exchanged.
C. after the end of fiscal year.
D. on an adhoc basis.

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31. The following data has been extracted from the book of ABC company.

Particular	Amount (Rs)
Total current assets	200,000
Total non-current assets	300,000
Total current liabilities	100,000
Total non-current liabilities	200,000

Based on the given data, the amount of working capital of the company would be

A. Rs 100,000
B. Rs 200,000
C. Rs 300,000
D. Rs 400,000

32. With reference to financial statements, the statement of affairs (balance sheet) reflects

A. revenues and expenses of a business.
B. changes in retained earnings of a business.
C. cash flows from operating activities of a business.
D. assets, liabilities and equity as on a certain date of a business.

33. Consider the following picture.



The given mode of transportation is GENERALLY used for the carriage of

A. coal.
B. crude oil.
C. automobiles.
D. life-saving medicines.

34. Read the following features:

- It is a specialised market.
- It is generally a small market for a particular product or service.

The given features describe the market segment that is

A. mass market.
B. niche market.
C. target market.
D. commodity market.

35. Gro Farms purchases organic seeds and fertilisers to cultivate its crops.

With reference to market segmentation, Gro Farms is categorised under

A. resource market.
B. industrial market.
C. consumer market.
D. intermediate market.

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36. StyleScape Fashion decides to market their products based on age groups, offering distinct lines for teenagers, young adults and seniors.

With reference to market segmentation, the marketing strategy will benefit the business in terms of

A. customised products.
B. unlimited product variety.
C. increased production costs.
D. uniform marketing strategies.

37. The phase of a product life cycle in which sales increase quickly is

A. introduction.
B. saturation.
C. maturity.
D. growth.

38. The pricing strategy used in the given advertisement can be referred as



A. cost-plus pricing.
B. penetration pricing.
C. competitive pricing.
D. psychological pricing.

39. Zeeshan Limited, an international pharmaceutical company, manufactures life-saving drugs.

The channel of distribution that will be used by Zeeshan Limited for their sales would be

A. consumer → retailer → wholesaler → distributor → manufacturer
B. manufacturer → distributor → wholesaler → retailer → consumer
C. distributor → manufacturer → retailer → wholesaler → consumer
D. manufacturer → wholesaler → distributor → consumer → retailer

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40. Review the given ad.



The element of marketing mix that the company focuses on through the given business activity is

A. promotion.
B. product.
C. price.
D. place.

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END OF PAPER

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